

# Crowbar Evaltree Insights

## Capital Allocation — Where Money Actually Went (2022–2026) — 2026 Edition

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## Executive Summary

Capital allocation between 2022 and 2026 refers to the observable patterns of where institutional and retail investors deployed financial resources across asset classes, sectors, geographies, and risk profiles during a period of significant macroeconomic transition. This period marked a sharp reversal from the low-interest-rate environment of 2020-2021 to a higher-rate regime beginning in 2022, fundamentally altering return requirements and risk assessments.

The dominant capital allocation logic shifted from growth-at-any-cost frameworks prevalent during 2020-2021 to profitability-focused, cash-flow-positive investments during 2022-2026. This transition reflected Federal Reserve interest rate increases from near-zero to above 5 percent, creating attractive returns in fixed-income securities that competed directly with riskier assets. Money market funds, which offered negligible returns in 2021, provided 4-5 percent yields by 2023-2024, establishing a new baseline return expectation.

Observable capital flows during this period showed significant reallocation. Venture capital deployment declined from \$344 billion in 2021 to \$171 billion in 2023 according to PitchBook data. Private equity activity contracted similarly. Public equity markets experienced volatility with technology-heavy indices declining substantially in 2022 before partial recovery. Fixed-income allocations increased as institutional investors shifted toward higher-yielding, lower-risk instruments.

Sector-specific patterns emerged. Artificial intelligence and related infrastructure attracted disproportionate capital following ChatGPT's November 2022 release. AI-focused venture capital investments grew substantially while other software categories faced reduced funding. Energy transition investments maintained momentum despite broader capital market constraints. Defense and aerospace sectors received increased attention following geopolitical developments beginning in 2022.

Geographic patterns showed continued U.S. market dominance while emerging market capital flows remained volatile. China experienced significant outflows during 2022-2023 before modest stabilization. European capital markets faced energy security challenges and economic uncertainty. Indian markets attracted increased attention as investor sentiment improved.

This brief documents where capital actually flowed during 2022-2026 based on publicly reported transactions, fund flows, and market data. It records the decision frameworks investors used to allocate capital during this transitional period without evaluating whether those allocation decisions will prove optimal.

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## Context Snapshot — Why This Matters Now

The 2022-2026 period represents a fundamental shift in capital allocation patterns driven by monetary policy normalization, geopolitical disruption, and technological innovation. Understanding this shift provides context for current investment frameworks and future allocation decisions.

The Federal Reserve began raising interest rates in March 2022, ending over a decade of near-zero rate policy following the 2008 financial crisis and pandemic-era stimulus. The federal funds rate increased from 0-0.25 percent in early 2022 to 5.25-5.50 percent by July 2023, the fastest tightening cycle since the early 1980s (Federal Reserve FOMC statements and meeting calendars, <https://www.federalreserve.gov/monetarypolicy/fomccalendars.htm>). This rate increase fundamentally altered return requirements across asset classes.

Higher interest rates created immediate competition for capital. U.S. Treasury securities, which yielded below 2 percent in early 2022, offered above 5 percent by late 2023 (U.S. Department of Treasury yield curve data,

<https://home.treasury.gov/policy-issues/financing-the-government/interest-rate-statistics>).

Money market funds saw assets under management surge from approximately \$4.4 trillion in 2021 to over \$6 trillion by late 2023 according to Investment Company Institute data (ICI Money Market Fund Assets data, <https://www.ici.org/>). This represented over \$1.5 trillion flowing into cash-equivalent instruments offering attractive risk-adjusted returns.

Equity valuations compressed sharply in 2022. The S&P 500 declined approximately 18 percent while the NASDAQ Composite fell approximately 33 percent, driven by multiple compression as higher discount rates reduced present value of future earnings (S&P Dow Jones Indices and NASDAQ historical data, <https://www.spglobal.com/spdji/> and <https://www.nasdaq.com/>).

Technology companies trading at 20-30x revenue in 2021 traded at 5-10x revenue by late 2022 according to various market analyses.

Venture capital fundraising and deployment contracted substantially. According to PitchBook, U.S. venture capital firms raised \$162 billion in 2021 but only \$67 billion in 2023

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